

# The Home Depot, Inc.: what changed between the two annual reports

Form 10-K for fiscal 2025 (year ended February 1, 2026) against fiscal 2024 (year ended February 2, 2025), with the two fourth-quarter results releases.

## 1. Full write-ups

### Critical accounting estimates and auditor's report: the shrink estimate fell, and the audit matter on it was dropped

- **Before:** a 10% higher shrink rate “would have increased cost of sales by approximately \$95 million” (FY2024 10-K, p. 39); the auditor listed “Estimation of store shrink” as a critical audit matter (p. 42).
- **After:** “approximately \$79 million” (FY2025 10-K, p. 39); the shrink audit matter is dropped (pp. 41–42).
- **Why it matters:** the sensitivity fell 17% while Primary segment cost of sales fell 1.5%. This implies a shrink estimate roughly \$160m lower, and the gross margin discussion credits “lower shrink” (p. 34). Size: about 0.9% of pre-tax income. This is rough, because the sensitivity is the only figure given.
- **Reading:** most likely ordinary, since the risk factor moved from “have seen heightened shrink” (p. 19) to “saw” (p. 19) and the estimate follows “recent shrink results”. Later counts showing higher losses, or the sensitivity rising again, would point to an estimate set too low.

### Debt note and adjusted measures: average commercial paper no longer disclosed

- **Before:** a table gave “Average daily short-term borrowings” of \$1,343m and a maximum of \$15,317m (FY2024 10-K, p. 61).
- **After:** table dropped; only “the maximum amount outstanding during that period was \$5.8 billion” (FY2025 10-K, p. 61).
- **Why it matters:** this is the figure needed to adjust the return on invested capital written up in the earlier assessment, in the year commercial paper rose from \$316m to \$4,464m. With last year's daily average, fiscal 2024 ROIC would be 30.5% against the 31.3% reported. For fiscal 2025 only the begin-and-end average can be used (24.7% against 25.7%). Size: no income effect; \$4,464m is a balance.
- **Reading:** most likely ordinary pruning, as the table mainly described the SRS bridge financing. It does remove a figure just as it became relevant, and the ROIC explanation now leads with “higher average equity due to our ongoing pause in share repurchases” (p. 32) instead of debt (p. 32 last year). Quarterly filings that give the average would settle it.

### Auditor's report: a new critical audit matter on inventory evidence

- **Before:** two matters, “Fair values of customer relationships intangible assets” and “Estimation of store shrink” (FY2024 10-K, pp. 41–42).
- **After:** one matter, “Sufficiency of audit evidence over certain merchandise inventories”, citing the “highly automated nature of the process” across “multiple information technology (IT) systems” (FY2025 10-K, pp. 41–42).
- **Why it matters:** it covers the retail-method majority of \$25.8bn of inventory, and the controls section in both years says finance systems are being migrated (p. 76; p. 77). No matter was raised on the \$1.5bn of GMS customer relationships. Size: not quantified; inventory is a balance equal to 139% of pre-tax income.
- **Reading:** most likely ordinary, an auditor flagging reliance on systems during a migration, with clean opinions on the statements and on controls. A control deficiency disclosed in a later filing would point the other way.

## 2. Other changes

- Sales per retail square foot (“\$599.92”, FY2024 pp. 32–33) is dropped from the FY2025 summary and table (pp. 32–33). A rough rebuild gives about \$594 for fiscal 2025, down 1.0%, though last year had a 53rd week.
- Inventory cost method: “primarily the first-in, first-out method” (FY2024 p. 49) became “primarily the moving average cost and first-in, first-out methods” (FY2025 p. 49). It is not listed as an accounting change and no effect is given.
- Goodwill: the SRS units were tested “using a qualitative approach” (FY2024 p. 60) and are now tested “using a quantitative approach”, with fair value that “exceeded” carrying amount (FY2025 p. 60). The Primary units still read “substantially exceeded”.

- Overhead in fiscal 2024: described then as “lower legal-related benefits” (FY2024 p. 34), now as “a non-recurring legal-related benefit recognized during fiscal 2024” (FY2025 p. 34). Neither report gives an amount.
- Risk factors: trade customers “primarily use trade credit” (FY2024 p. 23) became “increasingly use” (FY2025 p. 24); the sentence on supplier “PFAS” litigation (FY2024 p. 22) is dropped.

### 3. What stayed the same

| Statement                                                                    | Pages (last year, this year) | The number (last year, this year)                                               | Still fits?                                                             |
|------------------------------------------------------------------------------|------------------------------|---------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| ROIC uses “long-term debt (including current installments) and equity”       | p. 35, p. 35                 | Year-end commercial paper left out: \$316m, \$4,464m                            | Less well: the gap it opens grew from about 0.1 to 1.0 point            |
| Receivables allowance “was not material”                                     | p. 48, p. 48                 | Customer receivables: \$1,896m, \$2,588m (up 36%)                               | Can't tell: no allowance figure in either year                          |
| Retail-method inventory “approximates the lower of cost or market”           | p. 49, p. 49                 | Inventory days: 82, 86; turnover 4.7x, 4.4x                                     | Can't tell: slower turn, no markdown figure given                       |
| Straight-line “approximates the pattern of expected economic benefit”        | p. 51, p. 51                 | Customer-relationship charge on average cost: 5.9% (rough, part-year SRS), 5.2% | Can't tell: attrition not disclosed, as noted in the earlier assessment |
| “most recent quantitative analysis in fiscal 2023... substantially exceeded” | p. 60, p. 60                 | Primary operating income since fiscal 2023: down 1.7%, down 5.1%                | Probably, but the test is now two years old                             |

Statements that still fit and are left out of the table:

- **Property lives** (5–45 and 2–20 years): implied average life 13.4 then 13.5 years.
- **Finance lease amortization:** 8.1% then 7.9% of cost.
- **Supplier payment terms** (“30 to 60 days”): 41 then 40 days on confirmed invoices.
- **Stores** (“approximately 104,000 square feet”): 103.7 thousand in both years.
- **Self-insurance** (“undiscounted”): \$1.5bn then \$1.6bn.

### 4. Disclosed changes in estimates or policies

Neither report discloses a change in estimate or policy with a stated effect on income.

| Change                                                                                                                  | Year   | Stated effect on income               | Page  |
|-------------------------------------------------------------------------------------------------------------------------|--------|---------------------------------------|-------|
| Product categories realigned; fiscal 2024 Décor restated up \$735m, Hardlines down \$841m, Building Materials up \$106m | FY2025 | “no impact on consolidated net sales” | p. 56 |
| Intangible assets and their amortization shown as separate lines; prior periods reclassified                            | FY2024 | None stated                           | p. 48 |
| Income tax disclosure standard (ASU 2023-09) adopted retrospectively                                                    | FY2025 | “no impact”                           | p. 54 |
| Segment and supplier-finance disclosure standards adopted                                                               | FY2024 | “did not have an impact”              | p. 54 |
| SRS purchase price allocation finalized                                                                                 | FY2025 | Adjustments “immaterial”              | p. 75 |
| Stock option expected term moved from 6 to 7 years                                                                      | FY2025 | None stated                           | p. 70 |

### 5. Not in the documents

Related-party detail is incorporated from the proxy statement in both years (p. 80; p. 81), and both reports omit all schedules, so reserve movements can't be compared.

Pages are the [p. N] markers in the files; the reports' own footer numbers run four lower.